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T L DIRECT

Edito : The Line Direct

KEEPING OUR COSTS UNDER CONTROL

Since the financial crisis occurred 3 years ago, **reducing expenses in a fast moving world and a sometimes erratic environment** has been a top priority at TLD. We have taken numerous initiatives designed primarily to establish lower contract prices for good and services and to secure procurement sources.

These initiatives at lowering cost for some major components and structural parts are successful because it is comparatively easy to focus our energy on the high value items. But we also need to care for the penny: there may be only a few opportunities to save thousand of Euros, US dollars or Canadian dollars, but there are thousand opportunities to save one euro or one dollar. Dedicating efforts and resources to benchmark pricing and products, to negotiate attractive conditions, and to understand customer needs is a **must** in a leading company in the equipment business like TLD.

The teams working for TLD are deeply involved and dedicated, but also often quite young and due to the wide geographical stretch of our operations we need to develop a common culture of cost reduction and control. A common approach of negotiation efforts by all Material Management and purchasing departments will generate costs reduction this year and this is one of the main targets for 2011.

Controlling expenses starts with setting goals and also KPI to measure the performance. Thanks to a centralized ERP (BaaN) and the associated WEB user interfaces and dedicated tools, with the support of our MIS department we will develop queries and indicators to share and to support information and actions. Each of us needs to be guided in order to spend energy in a common direction and to close loop to measure the performance, and make this measurement accessible at the operational level.

In addition to setting expectations, we need to ensure that the costs saving action is taken into account into the annual performance evaluation process for our material management staff. Staff motivation is a key factor to meet budgeted savings and we must learn to say **NO** to the price increases too often requested by suppliers.

Weekly or monthly summary are easily extracted from BaaN with purchase price variance analysis clearly showing the results of the purchasing activity. Our purchasing and procurement staff employees can evidence the results of their actions and it is essential that the COOs stimulate and control their efforts by regular management meetings.

Finance department is also a key player in the cost control process, through regular audit, procedures to be followed for placing orders, expenses approval process and authorization levels to be respected. Accounting department also supports the Business units performance by allocating costs and providing cost and expenses analysis, so operational managers are able to get the proper reporting on time and are motivated to pay attention on any deviation.

Looking at "garbage" is also an easy way to make savings, as scraping material, whatever the reason is, represents a pure loss in money, time and resources. In all assembly shops, listening to the workers, team leaders and supervisors is a good way to identify the problems and how and where the non conforming parts are becoming operating losses.

A good, reliable and updated design is also essential to maintain costs under control and it is sometimes amazing to realize the sum of efforts spent to keep the equipment selling price stable over the years. Experienced and clever engineers and draftsmen represent real assets for TLD and they continue to the group future profitability through new product developments.

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But even with all our efforts and seriousness, we will not be able to stay a leading player in the market if we are not at the same time agile, and driven by long term views. In order to combine these approaches, which may sometimes seem contradicting, our long term view must support our strategy while an agile attitude is part of our day to day tactic.

Looking at the past three years demonstrates the long term tendencies: energy and raw material prices are going up, currencies from countries with increasing debts are going down, and efforts to support an image of quality and sustainable profitability are fruitful. By watching TV everybody can easily understand that more and more military and civil rescue operations are supported by specific aircraft handling equipments. How can TLD take advantages in term of saving and costs? Through the analysis of the evolution of the market demand we are able to lead the innovation and to take the benefit of the volume effects deriving from a leading position. Without a long-term view, the TXL-737-E, TXL-838 Regen or a PFA-50 would never have been developed.

The Group Sourcing Team located in Shanghai has also always received a strong support from our Group, and today the value brought by the cost efficient sourcing policy represents a significant share in our operational margins.

Concerning the tactic, volume effect with the reduction of the number of suppliers combined with real competition in sourcing alternatives are always the proper way to guarantee low prices and cost control.

Lastly, we must not forget to celebrate our successes after they have been achieved as it supports internal motivation and will increase supplier willingness to be selected in the future with the best and the most competitive offer. We are all in position to control cost, and working for a profitable and successful leader will guarantee our future.

Hervé CRIQUILLION

The Latest Dispatch

TLD reinforces its presence in Japan

TLD has been actively involved in the Japanese market for many years, and during the last 7 of these, our Company has benefited from the direction and involvement of our Representative Director for the Country, Mr. Yoshitsugu YAMAZAKI – whom most of you will know and recognize.

As a result our market presence and efforts, our business has significantly expanded in the past 4 years, with the aid of important global customers such as Swissport. Numerous introductions have also included local airlines such as JAL, SkyMark & NCA; Ground Handling Companies including Jasco & IACT and even Airport Authorities and others.

We have also established strong and long lasting relationships with trading companies such as JALUX and GSE service providers like JALAirtech and AEG.

On the military side, we've joined forces with GOKO, a local trading company specialized in Aerospace and Military products and we continue to build on this market, by expecting to add PFA & Conventional Tractors and GPU's to our portfolio with the JDF and MOJ.

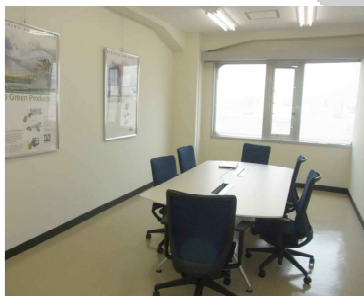
In December 2010, following our continued success, TLD decided to strengthen its position locally by establishing a subsidiary in Country, along with setting up offices and infrastructure in Tokyo. Our new offices are located very close to the Tokyo Haneda international airport.

Part of our support structure in Japan, has also included a Field Service Manager (Takao KONDO), and most recently TLD's first Sales and Service Engineer (Elodie AZEMA). These additions are not only supporting our existing customer base, but also setting the basis for continued and improved support, a key factor for success in this market.

The Latest Dispatch

In the 2nd Quarter of this year, Mr. Ryoichi TAKEUCHI has joined our ranks, currently acting as our Deputy Director and whom in the future will follow Mr. Yamazaki's steps towards the continued success of TLD in Country. Mr. Yamazaki will continue to provide us with his guidance and relationships in the capacity of Senior Advisor, and important role for our continued success. We are certain our enhanced capabilities in Japan will render significant contributions to our Company, for many years to come.

Rene de la LLANA



TLD Life Digest

THE PFA-50, A NEW VERSATIVE LOADING PLATFORM FOR THE AIR LIFTERS

TLD has produced self-loading, air-transportable "K-Loaders" for military customers around the world over the last few decades. TLD products such as the PFA-22 and PFA-25 Loader Transporter are currently in service with a number of Air Forces and the United Nations.

With the current style of expeditionary operations and the massive humanitarian relief efforts following disasters (such as the Haiti earthquake, the Pakistani floods and the Japanese Tsunami) it has become clear that greater capacity, deployable air-transportable loaders are required, with the capability to work in rough field conditions and damaged infrastructure.

As a result, in 2009, TLD decided to launch a new project for a loader with similar capacity to the PFA-25, but also capable of reaching the main deck of most commercial freighters. TLD consulted front-line users extensively and incorporated many of their requirements and suggestions into the design of the product. The aim was to design and manufacture a loader that could service military airlift requirements on a wide range of aircraft from the C-160 Transal, up to military heavy lift on C-17 or An-124, as well as the new generation of modified commercial freighters such as A330-MRTT or KC-767. These aircraft are the basic standard for the next generation freighter/tankers planned for air forces around the world.

The result of this project is the new PFA-50. With its 5800mm (228") reach and 16 ton weight, the PFA-50 offers the highest payload capacity and main deck capability for this type of loaders in the world. Although ready for new generation aircraft like A-400M and the KC-767, it is the only main deck capable loader that meets high capacity strategic lift requirements, whilst being easily transported in current theatre lift aircraft, and brings heavy-lift handling capability to airports not always equipped with main deck capable commercial loaders.

TLD Life Digest

The PFA-50 was designed by a team combining engineers from our St Lin and Sherbrooke sites. This team produced very innovative concepts (some of which have been patented), such as a strong but light platform sitting on the scissor, and the scissor itself resting directly on the axle at the rear of the machine, combined with an articulated bogey/engine cradle at the front. This arrangement eliminates the need for a chassis and reduces associated weight. Importantly, it provides unparalleled ground clearance, making it more useable in rough-field operations or in damaged infrastructure, but also enables self-loading onto the freight-decks of military airlift aircraft the size of the C-130 and above.

The prototype was assembled in Sherbrooke, and has met or exceeded all criteria throughout the focused test and evaluation programme carried out in 2010.

Since then, TLD has received several orders for the PFA-50, and it is currently undergoing an extensive test campaign with the Canadian DND. The tests started at the beginning of May with some operational performance, speed and lift assessments, which PFA-50 passed with flying colours. Other tests are on going, and TLD intends to deliver 15 platforms in the coming months.

The PFA-50 addresses a capability gap in current deployable military logistic support. Many of the current generation of heavy-lift loaders are nearing the end of their useful lives and cannot be deployed easily.

PFA-50's versatility, capacity and self-loading capability make it a very attractive proposition and TLD has received considerable interest already from several Air Forces in the World.

Working in tandem with the lighter PFA-25, PFA-50 perfectly fits the tactical and strategic airlift requirements of modern military forces for military and humanitarian applications.



Julian STINTON

The last development of TLD Montlouis

The new TPX-500-S and TPX-500 Mk2 evolution

The TPX-500 series started 10 years ago and its design needed to be refreshed. Then after the evolution of the TPX-200-MT last year, the TPX-500 series is going to change significantly.

The purpose of the evolution was driven by 4 major objectives: a modern and similar design for TPX-200-MT and TPX-500 series, a common and improved ergonomic cab, easy trouble shooting system with on board events recording tools and a common industrial base between TPX-200-MT and TPX-500/-S.

As of May 2010, 20 TPX-200-MT mk2 have been sold and the customer feed back is good.

Thanks to a redesign of the rear chassis, the Engineering department was able to decrease the total weight of the machine by 1500kg/3300Lbs. The new canbus system allows the maintenance technician to have a status of each and every sensors, pumps and engine without the need of a laptop. As a matter of fact, an inboard screen gives two categories of informations, for the operators on daily operation and for the maintenance technicians.

These new tractor evolutions include the use of the new electronic Poclain/Sauer hydrostatic pumps while Rexroth is still installed on the hydraulic wheel motor on TPX-500 series.

On the industrial side, this new common rear chassis is a real advantage because it replaces the previous three chassis by only one (only the size of the crown interface is bigger on TPX-500 serie). The cab, the engine package, the electrical harnesses, the tanks, the covers and 90% of the hydraulic of the rear chassis are strictly identical. This evolution is a key factor to decrease the workload of engineering for sustaining the drawing, BOM, manual and working instructions. The saving is also on the logistic and purchasing side taking advantage of the commonality of components. On the industrial perspective, standard sub assembly work stations are being deployed to improve our production cycle time.

The last development of TLD Montlouis

Finally the commonality of components with the TPX-200-MT Mk2 and TPX-500/-S Mk2 will allow TLD to offer exceptional support in term of spare parts availability. The first TPX-500-S mk2 and TPX-500 mk2 have already been sold.

TIER 4i engines

2011 is also the year of Tier4i evolution and the TMX-450 Tier4i is the first model to be released for sales in the coming weeks. The new TIER4i engine is a Deutz 7.8L equipped with a Diesel Particles Filter. The power rating is 225kW while the Tier3 was 200kW. The cooling package as been adapted to sustain the increase of heat generated by this new engine and can cope with very hot countries. The TPX-200-MT and TPX-500 series will follow this year. le courant de l'année.

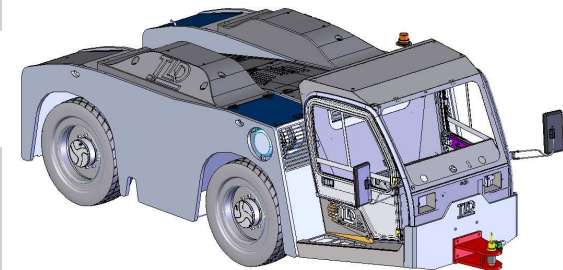


TMX-650: A new conventional tractor for the largest aircraft



The new heavy conventional tractor is about to be assembled mid may. Five years ago we decided to stop the production of the TMX-500 because of its old design and high cost. We were also thinking at that time that towbarless tractors would capture most of the market share on the heavy aircraft operation, but the market share actually stabilized at close to 50/50% today. Using the same simplicity and philosophy than the TMX-450, the TMX-650 will offer a weight range from 50 to 70 tons, a 200 or 330kW power plant and an optional second driving station and a GPU compartment at the rear. The goal of the tractor is clearly to be present on this particular conventional tractor application where TLD is no more active today.

New large cab for the coming TMX-350



The new TMX-350 is a conventional tractor from 24 and 28tons gross weight. This project is being conducted by TLD Sherbrooke in cooperation with TLD Montlouis. This engineering cooperation is very important for TLD and allows sharing experience on Ranger products between engineering team and more globally between business unit. The TMX-350 will feature an enlarged cab (LLTT style) and 3 steering modes. The first TMX-350-28 will be released in June in TLD Sherbrooke and July in TLD Montlouis

Philippe TESSIER

The last development in TLD America and TLD Canada

New challenges ahead for TLD America and TLD Canada !

After years of delays the Boeing B787 is nearing the end of its flight testing and deliveries are getting scheduled for early in the year 2012.

Boeing is already making plans for increased production rates in its main assembly plant in Everett Washington and the launching of the second B787 assembly plant in Charleston South Carolina.

In parallel the introduction of the -800 version of the B787 family is also scheduled for 2013 with the production tooling required to start flying in 2012. When you consider that nearly all major components that make the B787 and the tooling have to be handled by our DBL-110 and our static racks, all this growth in production rates at Boeing constitute a major opportunity for TLD

Boeing has already entrusted TLD with the design and manufacture of a second generation DBL-110 that capitalizes on all of our learning in the original design and adds to it a flexibility in deployment through a retractable platform capable of reducing it's width to become compatible with air transport in the AN124 ANTONOV. This initial order of one unit is expected to be increased by two additional units as early as July 2011.

Furthermore the tooling required for the B787-800 series will need additional storage racks, here once again Boeing will be looking to use the learning acquired from the existing design in static racks and apply it to a mobile rack concept.

The specification for this new product has yet to be finalized but the concept calls for the rack to have maximum component compatibility with the DBL-110 and for its mobility it is required that it be towed by our very own Towbarless Tractor the TPX-500 presently providing the handling duties of the B747LCF.

With Mobile Racks required in most if not all stations this new project could mean potentially 15 to 20 racks and the addition of 3 or more TPX-500 to the fleet of TLD equipment at Boeing.

Scott GORDON

TLD people

The TLD team in Sherbrooke

The team of Sherbrooke is now renewed and complete. After a 2010 year of high change, each one is now at his position and we are ready for years of growth which are coming thanks to the LLTT, TMX-250/350, the PFA-50 and the DBL which were added to our range of loaders, LSP and NBL.



The **purchasing & logistic** service is supervised by **Marc Busseau**. Fabien Prat, Jean-Luc Dutil and Danielle Bélanger are the seniors, since Jean-Yves Leboeuf and Vincent Frechette have a little more than one year of presence, Zeljko Zarin 9 months, and Maryse Beaulieu and Louise Duquette having joined us at the beginning of 2011.



To improve our service, Vincent Deschaseaux joined at the beginning of May the **PSM** team, always supervised by **Gabriel Roy**.



Administrative section : **Alain Gaumond** manages the **finance**, assisted by Sylvie Dubois and Diane Hinse who joined us at the end of 2010, **Sylvie Desjardins** is the **HRM** since January and **Nicolas Vérin** as **COO** for 1 year now.



Engineering has also had its batch of new faces with first of all the supervision by **Remi Langlois** for one year. From left to right, Martin Foley and Alexis Adam control the system section, Gabriel Daigle and Antoine Landry, technician since last summer, M-A Noël, Cédric Alliguié and Michael Chaloux, mechanical pilot, and finally Pascal Gagnon, recently appointed RME.



The **quality** department under the supervision of **Jean-Yves Laramée**, assisted by his faithful inspectors Marc-Andre Dutil and Eric Boulanger.



The "Very young" team **DBL**, for 1 month directed by **Alex Lys**, who has just finished with the LLTT, and our eternal **Francis Faucher** who is going to develop a DBL "transformed" for Antonov. From left to right, Sylvain Morissette (System) and Pascal Tessier joined the team in April and Benoit Dufour, after a good job on PFA-50, controls the studies of drawing



Finally the **production**, the most senior team..., is supervised for one year by **Paul Cyr**. From left to right, Brad (TL), Philippe (TL), Dany (TL), Jonathan (Sup), Serge (TL), Michael (TL), Yannick (Sup), Linda and Gisele (planer), Patrick (Sup), Dany (TL), Vincent (TL), Paul, then François (TL).

Nicolas VERIN

The Latest Dashboard

T L Dash board (in M€uros)

(Year to date-end of APRIL figures)

TLD Sales	2011-04		2011/2010 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	13,2	25,0%	21,9%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	25,3	48,0%	57,8%
GSE - AREA ASIA	9,1	17,3%	94,0%
Other activities (Adhésives solutions)	5,1	9,7%	10,9%
TOTAL TLD SALES	52,7	100%	45,8%

